

***An exception:** While you are paying down your debt, if your employer offers a retirement plan in which they match your contributions, be sure to contribute enough to get the full match. It's essentially free money and you don't want to leave it on the table. Plus, usually, contributing enough to get the free money comes out to a small percentage that you won't really miss in your paycheck anyway.*

You have a plan in place for your short-term life changes. Do you have a life change coming up in the near future that will require financial support, for instance, planning a wedding, preparing for a baby, moving to a new city, or leaving a relationship? If yes, it's important that you plan accordingly by making sure you have money put aside to support your life changes. This isn't money that you should be investing since you know you'll need it in the short term.

You have the right type of insurance in place. Having the right insurance coverage can potentially save you a ton of money in the event of an emergency, an unplanned life occurrence, or a medical need. For instance, the right car insurance can pay for the costs of a car accident, like repairs and medical bills. A homeowner's policy can help you rebuild your home after devastating damage from fire or flooding. Health insurance can pay for expensive emergency room bills after an injury or illness. Disability insurance can protect your income in the event you are unable to work for a period of time. No one wishes for bad things to happen, but having the right insurance means you can protect yourself without having to impact your long-term financial plans. On the flipside, not having enough insurance can derail your financial goals and you definitely don't want that.

You've done your research and have an understanding of what you'll be investing in. Prior to investing, you should spend some time researching your potential investments with a minimum goal of understanding what they are, what they cost, and how they have performed in the past.

You understand how much risk you can tolerate. As an investor, understanding your risk tolerance can make all the difference in how well you sleep at night. Knowing how much risk you can stomach will in turn help you determine how aggressive or conservative of an investor you want to be. Understanding your risk tolerance will also help you eliminate panic